Chapter 3
Ethics, Fraud, and Internal Control



Accounting Information Systems, 7e
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Objectives for Chapter 3

- Broad issues pertaining to business ethics
- Ethical issues related to the use of information technology
- Distinguish between management fraud and employee fraud
- Common types of fraud schemes
- Key features of SAS 78 / COSO internal control framework
- Objects and application of physical controls

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Business Ethics

Why should we be concerned about ethics in the business world?

- Ethics are needed when conflicts arise—the need to choose
- In business, conflicts may arise between:
  - employees
  - management
  - stakeholders
- Litigation

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Business Ethics

Business ethics involves finding the answers to two questions:

- How do managers decide on what is right in conducting their business?
- Once managers have recognized what is right, how do they achieve it?

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Four Main Areas of Business Ethics

Ethical Issues in Business	
Equity	Executive Salaries Comparable Worth Product Pricing
Rights	Corporate Due Process Employee Health Screening Employee Privacy Sexual Harassment Diversity Equal Employment Opportunity Whistle-Blowing
Honesty	Employee and Management Conflicts of Interest Security of Organization Data and Records Misleading Advertising Questionable Business Practices in Foreign Countries Accurate Reporting of Shareholder Interests
Exercise of Corporate Power	Political Action Committees Workplace Safety Product Safety Environmental Issues Divestment of Interests Corporate Political Contributions Downsizing and Plant Closures

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Computer Ethics…

concerns the social impact of computer technology (hardware, software, and telecommunications).

What are the main computer ethics issues?

- Privacy
- Security—accuracy and confidentiality
- Ownership of property
- Equity in access
- Environmental issues
- Artificial intelligence
- Unemployment and displacement
- Misuse of computer

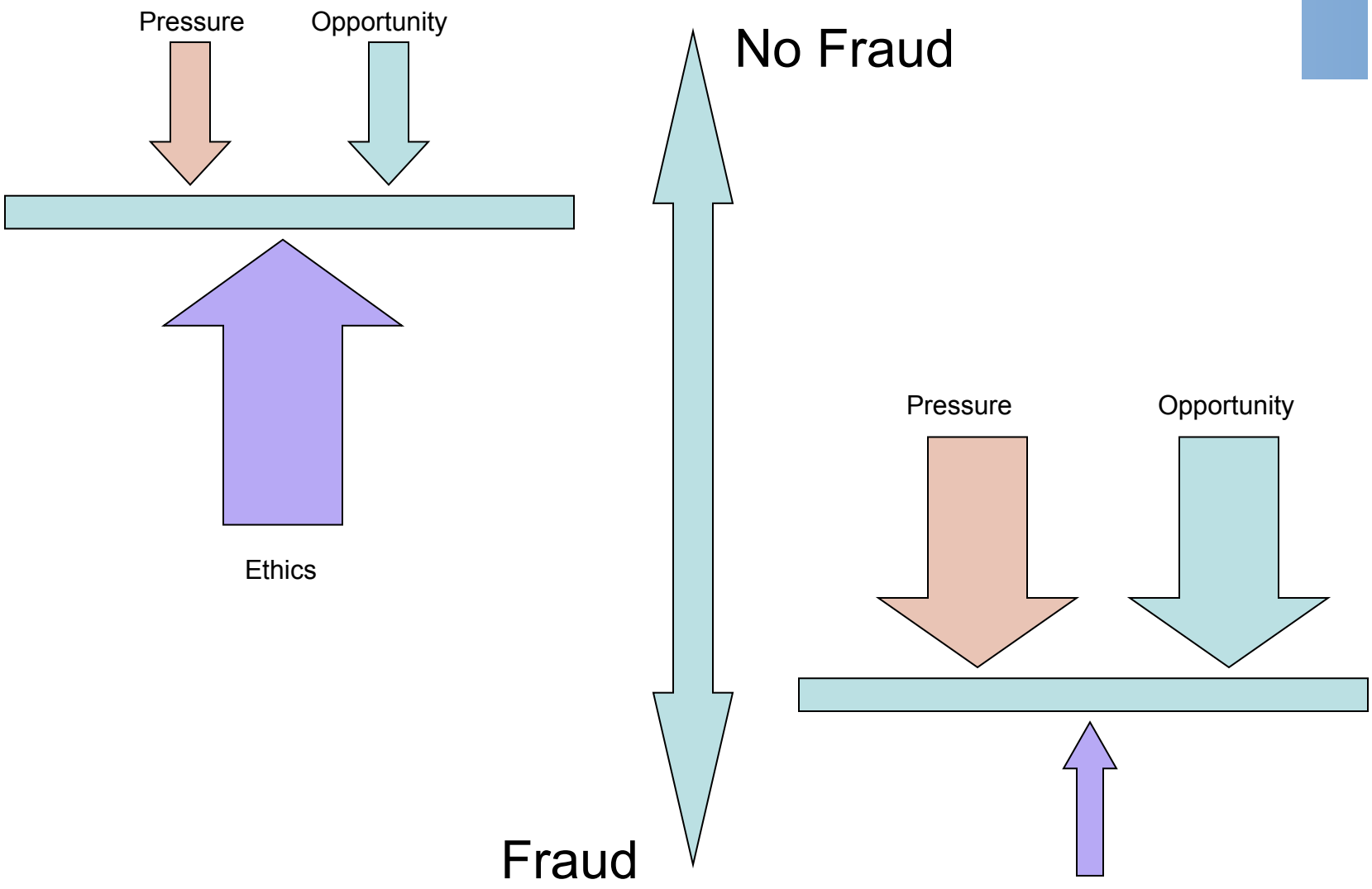
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Legal Definition of Fraud

- ***False representation*** - false statement or disclosure
- ***Material fact*** - a fact must be substantial in inducing someone to act
- ***Intent to deceive*** must exist
- The misrepresentation must have resulted in ***justifiable reliance*** upon information, which caused someone to act
- The misrepresentation must have caused ***injury or loss***

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Figure 3-1 Fraud Triangle



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2008 ACFE Study of Fraud

- Loss due to fraud equal to 7% of revenues—approximately $994 billion
- Loss by position within the company:

Position	% of Frauds	Loss $
Owner/Executive	23%	$834,000
Manager	37%	150,000
Employee	40%	70,000

- Other results: higher losses due to men, employees acting in collusion, and employees with advance degrees

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Enron, WorldCom, Adelphia Underlying Problems

- *Lack of Auditor Independence:* auditing firms also engaged by their clients to perform nonaccounting activities
- *Lack of Director Independence:* directors who also serve on the boards of other companies, have a business trading relationship, have a financial relationship as stockholders or have received personal loans, or have an operational relationship as employees
- *Questionable Executive Compensation Schemes:* short-term stock options as compensation result in short-term strategies aimed at driving up stock prices at the expense of the firm's long-term health
- *Inappropriate Accounting Practices:* a characteristic common to many financial statement fraud schemes
  - Enron made elaborate use of special purpose entities.
  - WorldCom transferred transmission line costs from current expense accounts to capital accounts.

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Sarbanes-Oxley Act of 2002

Its principal reforms pertain to:

- Creation of the Public Company Accounting Oversight Board (PCAOB)
- Auditor independence—more separation between a firm's attestation and non-auditing activities
- Corporate governance and responsibility—audit committee members must be independent and the audit committee must oversee the external auditors
- Disclosure requirements—increase issuer and management disclosure
- New federal crimes for the destruction of or tampering with documents, securities fraud, and actions against whistleblowers

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Employee Fraud

- Committed by **non-management personnel**
- Usually consists of: an employee taking cash or other assets for personal gain by circumventing a company's system of internal controls

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Management Fraud

- Perpetrated at levels of management above the one to which internal control structure relates
- Frequently involves using financial statements to create an illusion that an entity is more healthy and prosperous than it actually is
- Involves misappropriation of assets, it frequently is shrouded in a maze of complex business transactions

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Fraud Schemes

Three categories of fraud schemes according to the Association of Certified Fraud Examiners:

A. fraudulent statements

B. corruption

C. asset misappropriation

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A. Fraudulent Statements

- Misstating the financial statements to make the copy appear better than it is
- Usually occurs as management fraud
- May be tied to focus on short-term financial measures for success
- May also be related to management bonus packages being tied to financial statements

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B. Corruption

- Examples:
  - bribery
  - illegal gratuities
  - conflicts of interest
  - economic extortion
- Foreign Corrupt Practice Act of 1977:
  - indicative of corruption in business world
  - impacted accounting by requiring accurate records and internal controls

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C. Asset Misappropriation

- Most common type of fraud and often occurs as employee fraud
- Examples:
  - making charges to expense accounts to cover theft of asset (especially cash)
  - *lapping*: using customer's check from one account to cover theft from a different account
  - *transaction fraud*: deleting, altering, or adding false transactions to steal assets

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Internal Control Objectives According to AICPA SAS

1. **Safeguard assets** of the firm
2. **Ensure accuracy and reliability** of accounting records and information
3. **Promote efficiency** of the firm's operations
4. **Measure compliance** with management's prescribed policies and procedures

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Modifying Assumptions to the Internal Control Objectives

- **Management Responsibility**

The establishment and maintenance of a system of internal control is the responsibility of management.

- **Reasonable Assurance**

The cost of achieving the objectives of internal control should not outweigh its benefits.

- **Methods of Data Processing**

The techniques of achieving the objectives will vary with different types of technology.

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Limitations of Internal Controls

- Possibility of honest errors
- Circumvention via collusion
- Management override
- Changing conditions--especially in companies with high growth

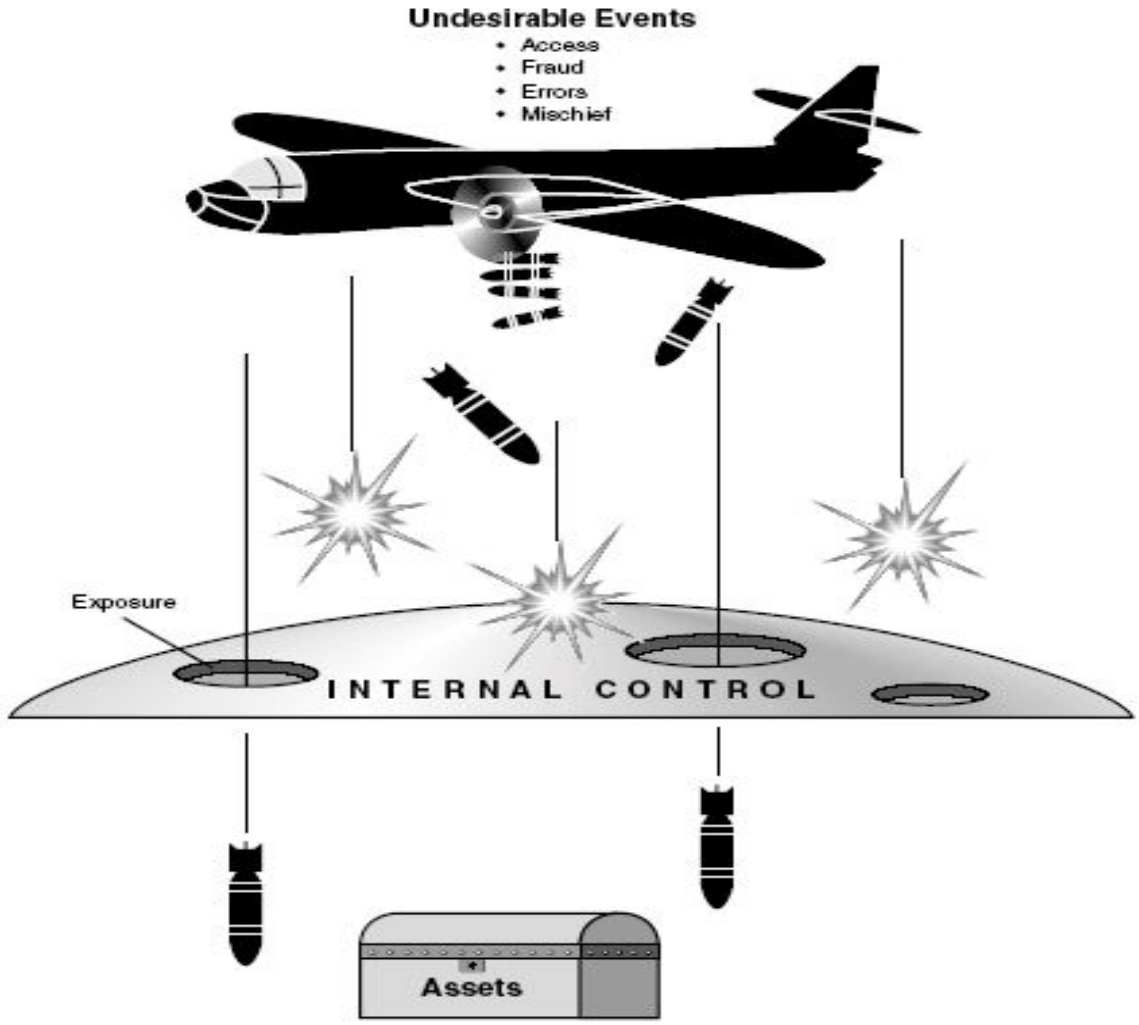
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Exposures of Weak Internal Controls (Risk)

- **Destruction** of an asset
- **Theft** of an asset
- **Corruption** of information
- **Disruption** of the information system

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The Internal Controls Shield



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Preventive, Detective, and Corrective Controls

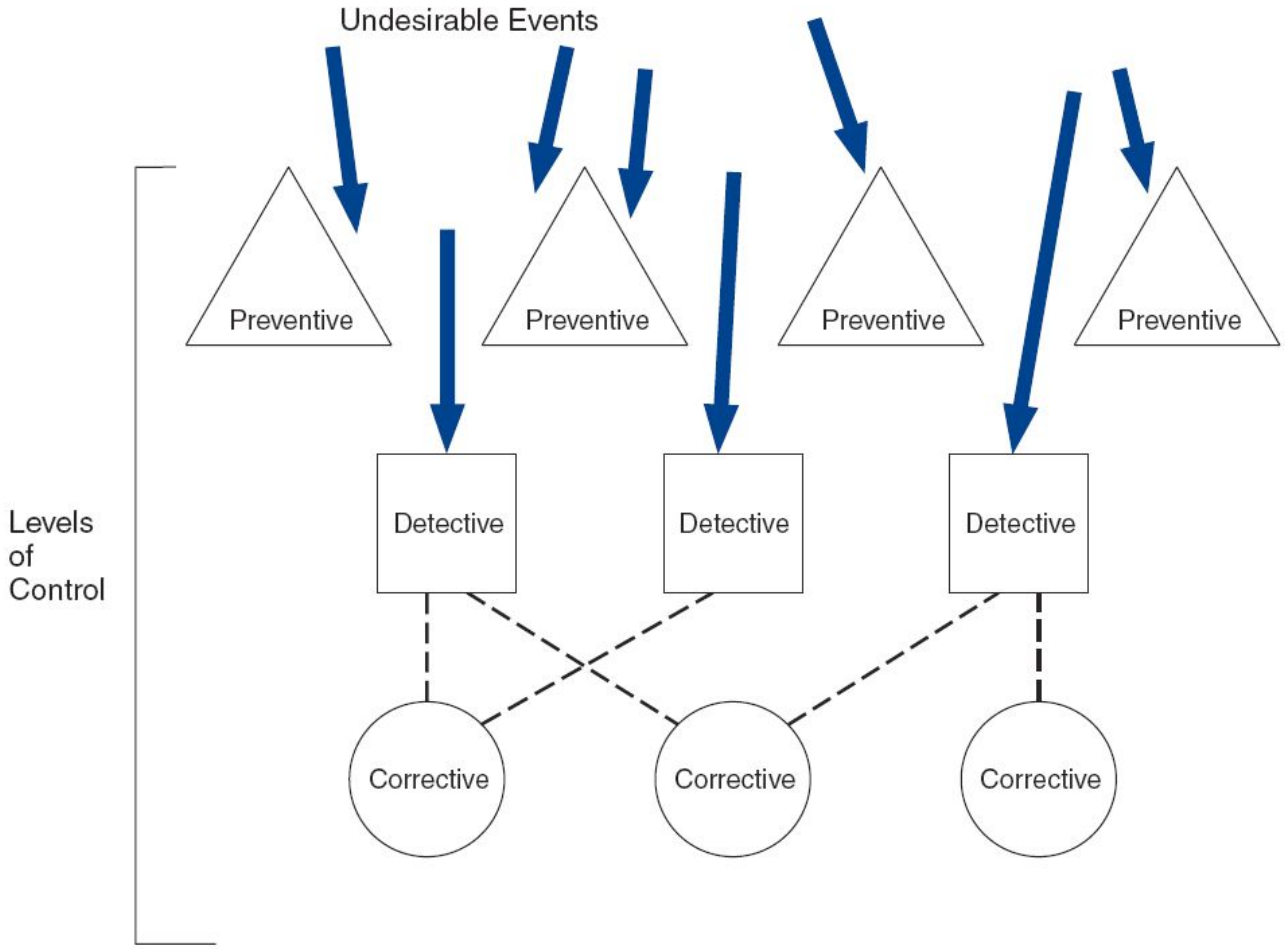


Figure 3-3

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SAS 78 / COSO

Describes the relationship between the firm's…

- internal control structure,
- auditor's assessment of risk, and
- the planning of audit procedures

How do these three interrelate?

The weaker the internal control structure, the higher the assessed level of risk; the higher the risk, the more auditor procedures applied in the audit.

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Five Internal Control Components: SAS 78 / COSO

1. Control environment
2. Risk assessment
3. Information and communication
4. Monitoring
5. Control activities

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1: The Control Environment

- Integrity and ethics of management
- Organizational structure
- Role of the board of directors and the audit committee
- Management's policies and philosophy
- Delegation of responsibility and authority
- Performance evaluation measures
- External influences—regulatory agencies
- Policies and practices managing human resources

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2: Risk Assessment

- Identify, analyze and manage risks relevant to financial reporting:
  - changes in external environment
  - risky foreign markets
  - significant and rapid growth that strain internal controls
  - new product lines
  - restructuring, downsizing
  - changes in accounting policies

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3: Information and Communication

- The AIS should produce high quality information which:
  - identifies and records all ***valid*** transactions
  - provides ***timely*** information in appropriate detail to permit proper classification and financial reporting
  - ***accurately*** measures the financial value of transactions
  - accurately records transactions ***in the time period in which they occurred***

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Information and Communication

- Auditors must obtain sufficient knowledge of the IS to understand:
  - the classes of transactions that are material
    - how these transactions are initiated [input]
    - the associated accounting records and accounts used in processing [input]
  - the transaction processing steps involved from the initiation of a transaction to its inclusion in the financial statements [process]
  - the financial reporting process used to compile financial statements, disclosures, and estimates [output]

[red shows relationship to the general AIS model]

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4: Monitoring

The process for assessing the quality of internal control design and operation

[This is feedback in the general AIS model.]

- Separate procedures—test of controls by internal auditors
- Ongoing monitoring:
  - computer modules integrated into routine operations
  - management reports which highlight trends and exceptions from normal performance

[red shows relationship to the general AIS model]

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5: Control Activities

- Policies and procedures to ensure that the appropriate actions are taken in response to identified risks
- Fall into two distinct categories:
  - IT controls—relate specifically to the computer environment
  - Physical controls—primarily pertain to human activities

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Two Types of IT Controls

- **General controls—**pertain to the entitywide computer environment
  - Examples: controls over the data center, organization databases, systems development, and program maintenance
- **Application controls—**ensure the integrity of specific systems
  - Examples: controls over sales order processing, accounts payable, and payroll applications

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Six Types of Physical Controls

- Transaction Authorization
- Segregation of Duties
- Supervision
- Accounting Records
- Access Control
- Independent Verification

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Physical Controls

Transaction Authorization

- used to ensure that employees are carrying out only authorized transactions
- *general* (everyday procedures) or *specific* (non-routine transactions) authorizations

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Physical Controls

Segregation of Duties

- In manual systems, separation between:
  - *authorizing and processing a transaction*
  - *custody and recordkeeping of the asset*
  - *subtasks*
- In computerized systems, separation between:
  - *program coding*
  - *program processing*
  - *program maintenance*

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Physical Controls

Supervision

- a compensation for lack of segregation; some may be built into computer systems

Accounting Records

- provide an audit trail

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Physical Controls

Access Controls

- help to safeguard assets by restricting physical access to them

Independent Verification

- reviewing batch totals or reconciling subsidiary accounts with control accounts

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Nested Control Objectives for Transactions

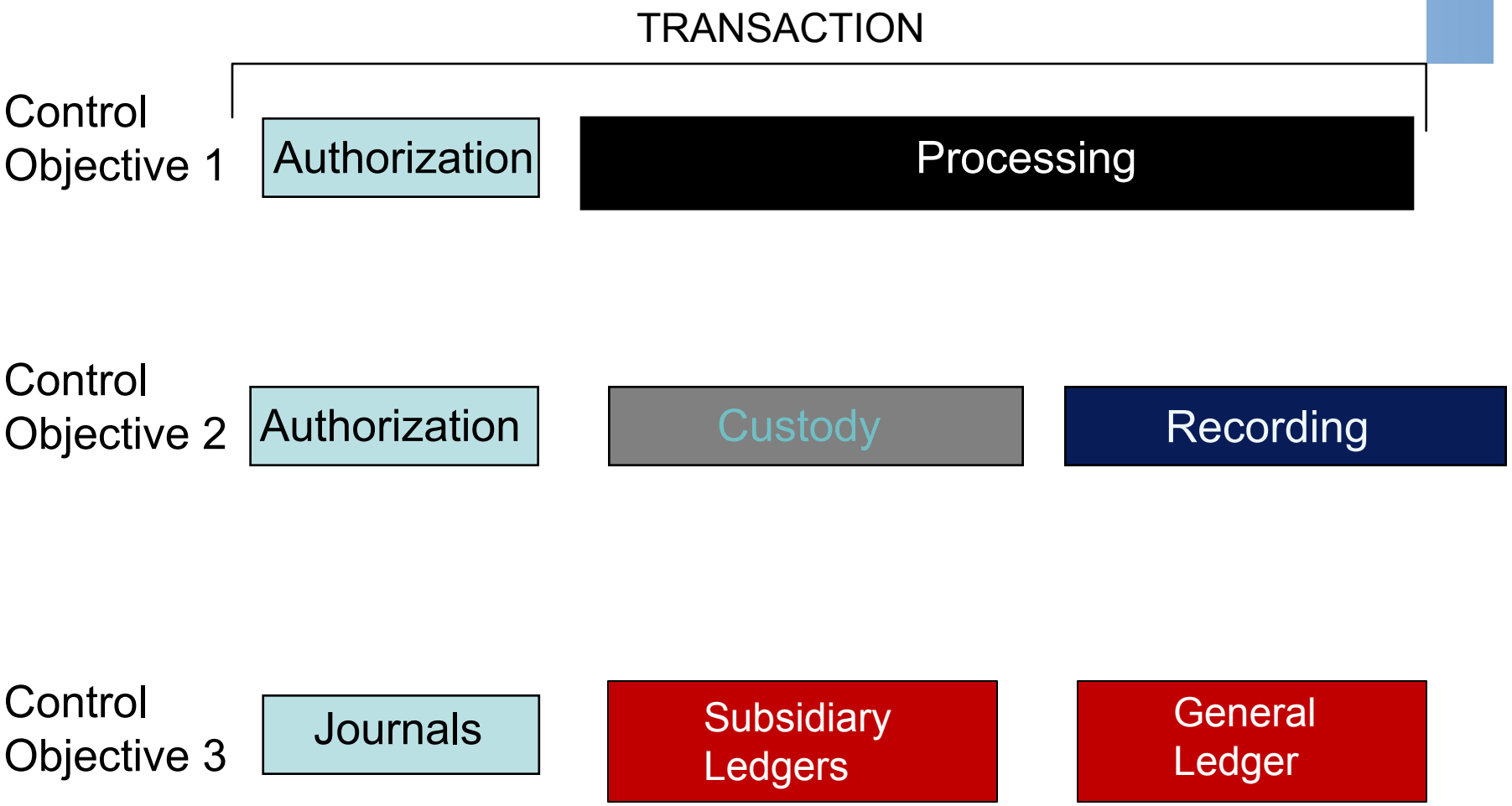


Figure 3-4

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Physical Controls in IT Contexts

Transaction Authorization

- The rules are often embedded within computer programs.
  - EDI/JIT: automated re-ordering of inventory without human intervention

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Physical Controls in IT Contexts

Segregation of Duties

- A computer program may perform many tasks that are deemed incompatible.
- Thus the crucial need to separate program development, program operations, and program maintenance.

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Physical Controls in IT Contexts

Supervision

- The ability to assess competent employees becomes more challenging due to the greater technical knowledge required.

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Physical Controls in IT Contexts

Accounting Records

- ledger accounts and sometimes source documents are kept magnetically
  - no audit trail is readily apparent

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Physical Controls in IT Contexts

Access Control

- Data consolidation exposes the organization to computer fraud and excessive losses from disaster.

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Physical Controls in IT Contexts

Independent Verification

- When tasks are performed by the computer rather than manually, the need for an independent check is not necessary.
- However, the programs themselves are checked.

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